

1-5 Financial Statements

After transactions have been recorded and summarized, reports are prepared for users. The accounting reports providing this information are called

Objective 5 - Describe the financial statements of a corporation and explain how they interrelate.

financial statements (Financial reports that summarize the effects of events on a business.)

. The primary financial statements of a corporation are the income statement, statement of stockholders' equity, balance sheet, and statement of cash flows. The order in which the financial statements are prepared and the nature of each statement are described in Exhibit 8.

Exhibit 8

Financial Statements

Order Prepared	Financial Statement	Description of Statement
1.	Income statement (A summary of the revenue and expenses for a specific period of time, such as a month or a year.)	A summary of the revenue and expenses <i>for a specific period of time</i> , such as a month or a year.
2.	Statement of stockholders' equity (A summary of the changes in the stockholders' equity in a corporation that have occurred during a specific period of time, such as a month or a year.)	A summary of the changes in stockholders' equity that have occurred <i>during a specific period of time</i> , such as a month or a year.

Order Prepared	Financial Statement	Description of Statement
3.	<u>Balance sheet (A list of the assets, liabilities, and stockholders' equity as of a specific date, usually at the close of the last day of a month or a year.)</u>	A list of the assets, liabilities, and stockholders' equity <i>as of a specific date</i> , usually at the close of the last day of a month or a year.
4.	<u>Statement of cash flows (A summary of the cash receipts and cash payments for a specific period of time, such as a month or a year.)</u>	A summary of the cash receipts and cash payments for a <i>specific period of time</i> , such as a month or a year.

The four financial statements and their interrelationships are illustrated in [Exhibit 9](#). The data for the statements are taken from the summary of [NetSolutions'](#) transactions in [Exhibit 6](#).

Exhibit 9

Financial Statements for NetSolutions

NetSolutions Income Statement For the Month Ended November 30, 20Y3			
Fees earned.....			\$ 7,500
Expenses:			
Wages expense.....	\$2,125		
Rent expense.....	800		
Supplies expense.....	800		
Utilities expense.....	450		
Miscellaneous expense.....	275		
Total expenses.....		(4,450)	
Net income.....			<u>\$ 3,050</u>
NetSolutions Statement of Stockholders' Equity For the Month Ended November 30, 20Y3			
	Common Stock	Retained Earning	Total
Balances, November 1, 20Y3.....	\$ 0	\$ 0	\$ 0
Issued common stock.....	25,000		25,000
Net income.....		3,050	3,050
Dividends.....		(2,000)	(2,000)
Balances, November 30, 20Y3.....	<u>\$ 25,000</u>	<u>\$ 1,050</u>	<u>\$ 26,050</u>
NetSolutions Balance Sheet November 30, 20Y3			

November 30, 20Y3		
Assets		
Cash.....		\$ 5,900
Supplies.....		550
Land.....		20,000
Total assets.....		<u>\$26,450</u>
Liabilities		
Accounts payable.....		\$ 400
Stockholders' Equity		
Common stock.....	\$25,000	
Retained earnings.....	<u>1,050</u>	
Total stockholders' equity.....		<u>26,050</u>
Total liabilities and stockholders' equity.....		<u>\$26,450</u>

NetSolutions Statement of Cash Flows For the Month Ended November 30, 20Y3		
Cash flows from (used for) operating activities:		
Cash received from customers.....	\$ 7,500	
Cash paid for expenses and to creditors.....	<u>(4,600)</u>	
Net cash flows from operating activities.....		\$ 2,900
Cash flows from (used for) investing activities:		
Cash paid for acquisition of land.....		(20,000)
Cash flows from (used for) financing activities:		
Cash received from issuing common stock.....	\$ 25,000	
Cash dividends.....	<u>(2,000)</u>	
Net cash flows from financing activities.....		<u>23,000</u>
Net increase in cash.....		\$ 5,900
Cash balance, November 1, 20Y3.....		0
Cash balance, November 30, 20Y3.....		<u>\$ 5,900</u>

All financial statements are identified by the name of the business, the title of the statement, and the *date* or *period of time*. The data presented in the income statement, the statement of stockholders' equity, and the statement of cash flows are for a period of time. The data presented in the balance sheet are for a specific date.